Subject: Re: DLTR Dial in- D&O Meeting
Date: Friday, May 23, 2025 at 8:09:44 AM Central Daylight Time
From: Larson, Paul
To: Hoopes, Jackson, Haran, Richard
Attachments: image001.png, image002.png, image003.png, image004.png, image005.png, image006.png, image007.png, image008.png, image009.png, image010.png, image011.png, image012.png, image013.png, image014.png, image015.png, image016.png

Yes and as a subjectivity to draft our own subject to review

From: Hoopes, Jackson <Jackson.Hoopes@libertymutual.com>
Sent: Friday, May 23, 2025 1:49:25 PM
To: Larson, Paul <Paul.Larson@LibertyMutual.com>; Haran, Richard <Richard.Haran@LibertyMutual.com>
Subject: Re: DLTR Dial in- D&O Meeting

We haven't received the endorsements yet, the broker is still working on final drafts with Zurich. Should I release a quote subject to the review of the endorsements?

Jackson

Jackson Hoopes
Executive Underwriter

Liberty Mutual Insurance
28 Liberty Street, 5th Floor
New York, NY, 10005
Phone: 929-554-1473

From: Larson, Paul <Paul.Larson@LibertyMutual.com>
Sent: Friday, May 23, 2025 4:19 AM
To: Hoopes, Jackson <Jackson.Hoopes@libertymutual.com>; Haran, Richard <Richard.Haran@LibertyMutual.com>
Subject: Re: DLTR Dial in- D&O Meeting

Jackson, I can't view the endorsements. Please have claims review or perhaps we can draft our own version. If we can get that done I support.

From: Hoopes, Jackson <Jackson.Hoopes@libertymutual.com>
Sent: Thursday, May 22, 2025 8:20:37 PM
To: Larson, Paul <Paul.Larson@LibertyMutual.com>; Haran, Richard <Richard.Haran@LibertyMutual.com>
Subject: RE: DLTR Dial in- D&O Meeting

Paul,

Got off the phone with the broker, she's really trying to convince me to do the deal (I wonder why). She says that the Prior Acts language for on the go-forward will be tight and that the straddle language will have any past act stuffed into the runoff. She said that Dollar Tree is adamant about getting any Family Dollar Claim not on the go-forward since they want their own limits unimpeded, this is their number one priority. So far, it doesn't look like there are any firms trolling the transaction and the Street has responded favorably to the news, likely because they see value in offloading a poorly performing asset.

The go-forward opportunity is $10M xs $30M for $106,000 (85% ILF), which is only a 6% discount as opposed to 12% the UL are providing. The STM rates it at 24%, granted this is with current exposure and inclusive of where the Company is *now,* not post transaction. I know you don't love the deal, but the broker pushed me to go back and just make sure. I was told we could pull our quote if we don't end up liking the PA or Straddle Language (though I really don't like being in the habit of pulling quotes). See UL quotes attached, Allianz dropped in to replace The Hartford who couldn't support pricing. Let me know your thoughts.

Jackson

Jackson Hoopes
Liberty Mutual Insurance

From: Larson, Paul <Paul.Larson@LibertyMutual.com>
Sent: Thursday, May 22, 2025 9:01 AM
To: Hoopes, Jackson <Jackson.Hoopes@libertymutual.com>; Haran, Richard <Richard.Haran@LibertyMutual.com>
Subject: RE: DLTR Dial in- D&O Meeting

I would consider a specific matter exclusion which would be broader coverage than a prior acts exclusion.

From: Hoopes, Jackson <Jackson.Hoopes@libertymutual.com>
Sent: Thursday, May 22, 2025 7:52 AM
To: Larson, Paul <Paul.Larson@LibertyMutual.com>; Haran, Richard <Richard.Haran@LibertyMutual.com>
Subject: Re: DLTR Dial in- D&O Meeting

Sounds good.

What do you think about the go-forward with a prior acts exclusion?

Jackson

Jackson Hoopes
Executive Underwriter
Liberty Mutual Insurance
28 Liberty Street, 5th Floor
New York, NY, 10005
Phone: 929-554-1473

From: Larson, Paul <Paul.Larson@LibertyMutual.com>
Sent: Thursday, May 22, 2025 6:45:33 AM
To: Hoopes, Jackson <Jackson.Hoopes@libertymutual.com>; Haran, Richard <Richard.Haran@LibertyMutual.com>
Subject: RE: DLTR Dial in- D&O Meeting

Jackson,

Give the disaster of the family dollar acquisition, I would pass on this. That claim will come in and the damages are a clear $8B.

PL

From: Hoopes, Jackson <Jackson.Hoopes@libertymutual.com>
Sent: Wednesday, May 21, 2025 2:43 PM
To: Larson, Paul <Paul.Larson@LibertyMutual.com>; Haran, Richard <Richard.Haran@LibertyMutual.com>
Subject: RE: DLTR Dial in- D&O Meeting

Any thoughts on this one?

Jackson

Jackson Hoopes
Liberty Mutual Insurance

From: Hoopes, Jackson
Sent: Monday, May 19, 2025 2:18 PM
To: Larson, Paul <Paul.Larson@LibertyMutual.com>
Subject: FW: DLTR Dial in- D&O Meeting

Also FYI on this one.

Jackson Hoopes
Liberty Mutual Insurance

From: Hoopes, Jackson <Jackson.Hoopes@libertymutual.com>
Sent: Monday, May 19, 2025 10:07 AM
To: Haran, Richard <Richard.Haran@LibertyMutual.com>
Subject: RE: DLTR Dial in- D&O Meeting

Rick,

As mentioned, I am working on possible new business for Dollar Tree with Marsh NY, Grace Brighter and Raegan Buckley. The reason for this opportunity is Markel dropping out of the D&O marketplace. While they have stated that they would honor their layer as well as the runoff, Marsh has said that they don't know if they trust them and want to find a carrier that can keep with the program in the future. The opportunities are as follows:

Renewal ABC
$10M po $30M xs $100M for $61,975
STM: 29%
(this is likely to be canceled after 3 months at the completion of the transaction and premium returned pro-rata)

Runoff (confirmed 2x)
$10M po $30M xs $100M for $123,950

Go-Forward ABC
$10M po $30M xs $100M for $54,365
STM: 26%
(assuming the 12% decrease follow)

Rating Considerations		
Commision	15.0%	
Rating Currency	USD	<< If blank, assumes USD
Current Exchange Rate to 1 USD (CIQ)	1.0000	
3-Month Avg Exchange Rate to 1 USD (CIQ)	1.0000	
Override Exchange Rate		<< If blank, assumes Current CIQ Exchange Rate
Deductible/Retention (USD)	5,000,000	

		Layer Information						US SCA Frequency				US SCA Severity (M)			US SCA Loss Cost	
Layer	Deductible/ Retention	Attachment in excess of deductible (USD)	Limit (USD)	Signed Line	Policy Type	Sold/ Quoted Premium (USD)	Quoted Premium Type	Expected Frequency	Settlement Rate	Chance to Reach Layer	Excess Exp Freq	Ground-up Severity	Defense Costs	Exp Loss in Layer	Freq x Exp Loss in Layer	PLR
USD 30m xs 100m	5,000,000	100,000,000	30,000,000	33%	ABC	61,975	Indication	6.3%	55.0%	32.4%	1.12%	125.9	18.9	9.0	100,365	59%
USD 30m xs 100m	5,000,000	100,000,000	30,000,000	33%	ABC	54,365	Indication	6.3%	55.0%	32.4%	1.12%	125.9	18.9	9.0	100,356	59%
Custom layer	5,000,000															
Custom layer	5,000,000															
Custom layer	5,000,000															

**Modeled Premium includes loadings for Merger Objections, Loss Experience Factors, and Side A Only Discount*

Carrier	Coverage	Expiring Limits	Ret/Attch	2024/2025 US Prem Bound (breakdown QS)	2024/2025 US Prem Bound	Rate/mil	ILF
Zurich	Primary	$10,000,000	$5,000,000	$342,000	$342,000	$34,200	
Travelers	1st xs	$10,000,000	$10,000,000	$203,600	$203,600	$20,360	59.53%
The Hartford	2nd xs	$10,000,000	$20,000,000	$149,600	$149,600	$14,960	73.48%
Allianz	3rd xs	$10,000,000	$30,000,000	$115,000	$115,000	$11,500	76.87%
Sompo	4th xs	$10,000,000	$40,000,000	$110,000	$110,000	$11,000	95.65%
AIG	5th xs	$10,000,000	$50,000,000	$96,280	$96,280	$9,628	87.53%
SwissRe	6th xs	$10M po $20M	$60,000,000	$79,437	$156,888	$7,944	82.51%
FASTRACK - QBE/Canopius		$10M po $20M		$77,451		$7,745	80.44%
Everest	7th xs	$10,000,000	$80,000,000	$73,810	$73,810	$7,381	95.30%
CN A	8th xs	$10,000,000	$90,000,000	$68,486	$68,486	$6,849	92.79%
Markel	9th xs	$10M po $30M	$100,000,000	$61,975	$184,376	$6,198	90.49%
ORPro		$10M po $30M		$61,975		$6,198	100.00%
FASTRACK - QBE/Canopius		$10M po $30M		$60,426		$6,043	88.23%
	Total	$130,000,000		$1,500,040	$1,500,040		

Here's Primary & 1st xs quoted on the ABC go forward:

Carrier	Coverage	Expiring Limits	Ret/Attch	2025 Premium	2025 Premium	Rate/mil	ILF
Zurich	Primary	$10,000,000	$5,000,000	$300,000	$300,000	$30,000	N/A
Travelers	1st xs	$10,000,000	$10,000,000	$182,700	$182,700	$18,270	60.90%

Dollar Tree eff 7/1
Broker: Grace Brighter, Marsh NY
No CE

Account Name Search Results for **DOLLAR TREE, INC (LM-5-2920**

Account Group	Location, City, State	Account	Distribution Segment	Distribution Department	Product
Grand Total					
DOLLAR TREE, INC. (LM-5-292030)..	MARSH USA INC., WASHINGTON, DC	DOLLAR TREE, INC (DOLL0313) CHESAPEAKE, VA	Specialty	Specialty Property	General Property > All Risk (IS I

Summary:
Dollar Tree, Inc. operates retail discount stores under the Dollar Tree and Dollar Tree Canada brands in the United States and Canada. The company offers consumable merchandise comprising everyday consumables, such as household paper and chemicals, food, candy, health, personal care products, and frozen and refrigerated food; variety merchandise consisting of toys, durable housewares, gifts, stationery, party goods, greeting cards, softlines, arts and crafts supplies, and other items; and seasonal goods, including Christmas, Easter, Halloween, and Valentine's Day merchandise. Dollar Tree, Inc. was founded in 1986 and is based in Chesapeake, Virginia.

Stock performance:
Price: $87 (down 24% YoY and up 13% YTD)
Mkt Cap: $18.2B
Beta: .67, Float shorted: 7.4%

22% single day stock drop on September 4th 2024 upon release of earnings and decreased outlook

Financials

	YR Ending (Prior Year)	YR Ending (Most Recent)	% Change	Most Recent Qtr
	2/1/2024	2/1/2025		2/1/2025
Balance Sheet				
Cash/ST Investments (includes marketable securities)	$643	$1,257	95%	$1,257
Current Assets	$6,367	$9,107	43%	$9,107
Total Assets	$23,022	$18,644	-19%	$18,644
Current Liabilities	$4,225	$8,586	103%	$8,586
Long Term Debt	$3,422	$2,431	-29%	$2,431
Working Capital	$2,142	$521	-76%	$521
Income Statement				
Revenues	$15,412	$17,579	14%	$5,000
Operating Income	$2,101	$1,514	-28%	$601
Net Income	$1,615	-$3,030	-288%	-$3,696
Gross Margins (%)	$38	$36	-5%	$38
Cash Flow Statement				
Operating Cash Flow	$1,615	$2,863	77%	$0

FY24 Business Update

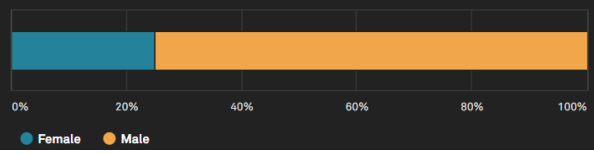
- Store Count to 16,503
  - Dollar Tree: 8,881 Stores[1] | 2,700 Multi Price Stores
  - Family Dollar: 7,622 Stores
  - Net Sales increased 4.7% to $17.6B with same store sales (SSS) increased 1.8%
  - First positive discretionary comp quarter since Q4 2023
  - Adjusted diluted EPS of $2.29, including $2.11 from continuing operations and $.18 from discontinued operations
- Strong Balance Sheet and Cash Position
  - Ended FY24 with $1.3B Cash; Generated $893M of free cash flow; Leverage < 2.5x with no borrowings
  - FD sale currently estimated to generate cash proceeds of approx. $800M and $350M tax benefit
  - New $1.0B 364-Day Revolving Credit Facility to address $1B senior notes maturing in May 2025
  - Amended/Extended existing $1.0B 5-Year Revolving Credit Facility for ongoing business

M&A

- Announced sale of Family Dollar in March 2025 for $1B to PE. This comes after originally purchasing the company for $9B.

BOD/Ownership

Top Executives | Board Of Directors

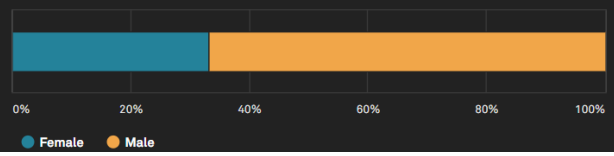


	PERSONS (ACTUAL)	PERSONS (%)
Female	5	25.00
Male	15	75.00

Top Executives

NAME	TITLE	STATUS	AGE	GENDER	BIOGRAPHY
Michael C. "Mike" Creedon Jr.	CEO & Director	Current	49	Male	Mr. Michael C. Creedon, Jr., also known as Mike, was an Executive Vice President of U.S. Stores at Advance Auto Parts, Inc. since March 15, 2021 until September 30, 2022. He se as Interim CEO at Dollar Tree, Inc. Since November 03, 2024 until December... View All
H. Ray Compton	Co-Founder	Current	82	Male	Mr. H. Ray Compton Co-founded Dollar Tree, Inc. in 1986. Mr. Compton served as the Executive Vice President of Dollar Tree Stores Inc. from 1998 to 2002. Mr. Compton serve the Chief Financial Officer of Dollar Tree from 1986 to 1998. He was employed... View Al
Stewart F. Glendinning	Chief Financial Officer	Current	60	Male	Mr. Stewart F. Glendinning is Chief Financial Officer of Dollar Tree, Inc. from March 30, 20 and was its Chief Transformation Officer since January 2025. Mr. Glendinning was Chief Executive Officer of Express, Inc. from September 15, 2023 to December... View All
Aditya Maheshwari	Senior VP & Chief Accounting Officer	Current	51	Male	Mr. Aditya Maheshwari serves as Senior VP & Chief Accounting Officer of Dollar Tree, Inc since September 05, 2023. He was Senior Vice President, Controller and Chief Accountir Officer at Under Armour, Inc. until August 25, 2023 and joined in December... View All
Robert "Bobby" Aflatooni	Chief Information Officer	Current	55	Male	Mr. Robert Aflatooni, also known as Bobby, serves as Chief Information Officer at Dollar Inc. since joining the organization in July 2022. He served as Chief Information Officer at Howard Hughes Corporation since 2021 until 2022. He was responsible... View All
John Scudder	Chief Ethics & Compliance Officer	Current	NA	Male	Mr. John Scudder serves as Chief Ethics & Compliance Officer at Dollar Tree Inc. since October 2023. He served as Senior Vice President, U.S. Chief Ethics and Compliance Off at Walmart Inc since June 2019 until 2022. He leads the company's multi-disciplinary... All
Jonathan B. Leiken	Chief Legal Officer & Secretary	Current	53	Male	Mr. Jonathan B. Leiken, also known as Jon, is Chief Legal Officer and Secretary at Dollar Inc. since August 2023 and served as its Executive Vice President since August 2023 unt 2023. He joined Dollar Tree, Inc. in August 2023. He served as Chief... View All
Jennifer L. Silberman	Chief Sustainability Officer	Current	NA	Female	Ms. Jennifer L. Silberman serves as Chief Sustainability Officer at Dollar Tree, Inc. since November 2022. She served as the Vice President of Corporate Responsibility at Hilton Worldwide from June 16, 2010 to February, 2016. Ms. Silberman was responsible... View
Steve Schumacher	Chief People & Communications Officer	Current	NA	Male	Mr. Steve Schumacher serves as Chief People & Communications Officer at Dollar Tree, and served as its Executive Vice President and Chief People Officer since November 13, He was Interim Chief People Officer of Dollar Tree, Inc. from 2024 until... View All
Robert Andrew "Bob" LaFleur	Senior Vice President of Investor Relations	Current	NA	Male	Mr. Robert Andrew LaFleur, also known as Bob, serves as Senior Vice President, Investor Relations at Dollar Tree, Inc. since May 22, 2023. He served as Vice President of Investor Relations and Capital Markets at Chewy, Inc. since 2020 until May 2023. Mr.... View All

Top Executives | Board Of Directors



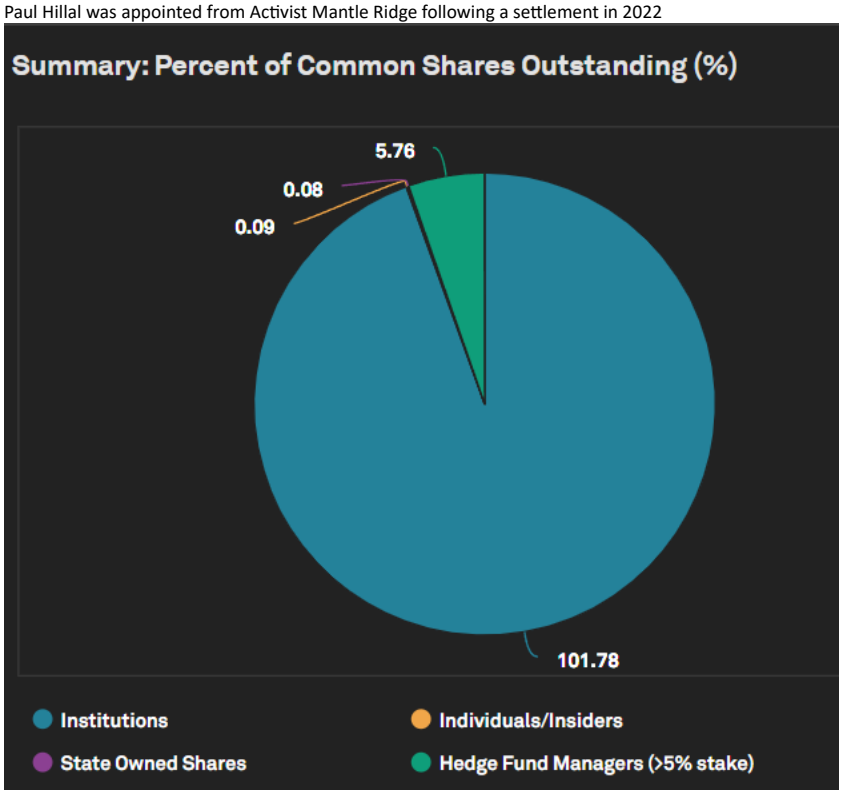
	PERSONS (ACTUAL)	PERSONS (%)
Female	4	33.30
Male	8	66.70

Board of Directors

NAME	ROLE	INDEPENDENT DIRECTOR?	STATUS	AGE	GENDER	BEGIN YEAR	END YEAR	TENURE	BIOGRAPHY
Edward Joseph "Ned" Kelly III	Chairman of the Board	Yes	Current	72	Male	2024	2025	6m	Mr. Edward Joseph Kelly III, also known as Ned, J.D., se Director at Citizens Bank, National Association since F 1, 2019. He serves as an Independent Director at Citize Financial Group, Inc. since February 1, 2019 and has b Independent... View All
Paul Charles Hilal	Vice Chairman of the Board	Yes	Current	58	Male	2022	2025	3y, 2m	Mr. Paul Charles Hilal is Independent Director of Air Pr and Chemicals, Inc. from 2025. Mr. Paul is Independent Chairman of the Board of CSX Corporation from March 2017. He joined the CSX Corporation on March 06, 201 Director of... View All
Michael C. "Mike" Creedon Jr.	Board Director/Trustee	No	Current	49	Male	2025	2025	3m	Mr. Michael C. Creedon, Jr., also known as Mike, was a Executive Vice President of U.S. Stores at Advance Aut Inc. since March 15, 2021 until September 30, 2022. H as Interim CEO at Dollar Tree, Inc. Since November 03, until December... View All
William W. "Bill" Douglas III	Board Director/Trustee	Yes	Current	64	Male	2025	2025	3m	Mr. William W. Douglas, III, also known as Bill, is Direct Dollar Tree, Inc. from February 28, 2025. He is Indepen Director of Monster Beverage Corporation from Januar 2025. Mr. Douglas has been Independent Non-Executi Director of Coca-Cola... View All
Cheryl Wray Grise	Board Director/Trustee	Yes	Current	72	Female	2022	2025	3y, 2m	Ms. Cheryl Wray Grise, JD serves as Independent Direc Dollar Tree, Inc. since March 2022. She serves as an Independent Director of MetLife, Inc. and Metropolitar insurance Company since February 17, 2004. Ms. Grise as the Chief Executive... View All
Daniel J. Heinrich	Board Director/Trustee	Yes	Current	69	Male	2022	2025	3y, 2m	Mr. Daniel J. Heinrich, also known as Dan, serves as Independent Director for Dollar Tree, Inc. since March served as an Independent Director at Lowe's Compani since May 28, 2021 until October 23, 2023. He had bee Independent Director... View All

Timothy A. "Tim, TJ" Johnson	Board Director/Trustee	Yes	Current	57	Male	2025	2025	3m	Mr. Timothy A. Johnson, also known as Tim, TJ Dollar Tree, Inc. from February 28, 2025. He is Brinker International, Inc. from February 2025 Independent Director of The Aaron's Company 03, 2021... View All
Mary A. Laschinger	Board Director/Trustee	Yes	Current	65	Female	2022	2025	3y, 2m	Ms. Mary A. Laschinger serves as Independen Dollar Tree, Inc. since March 2022. She served Director at Newmont Corporation (formerly kn Goldcorp Corporation) from December 01, 202 2024. She had... View All
Jeffrey G. Naylor	Board Director/Trustee	Yes	Current	66	Male	2018	2025	7y, 2m	Mr. Jeffrey G. Naylor, also known as Jeff, serve Chairman at Synchrony Financial since April 0 been Independent Director of Wayfair Inc., sin 2018. He has been an Independent Director of Financial since... View All
Diane E. Randolph	Board Director/Trustee	Yes	Current	70	Female	2023	2025	1y, 9m	Ms. Diane E. Randolph is Director of WorkJam 2025. Ms. Randolph is Independent Director a from August 15, 2023. She serves as Independe Shoe Carnival, Inc. since September 16, 2021. Independent... View All
Bertram Lee Scott	Board Director/Trustee	Yes	Current	74	Male	2022	2025	3y, 2m	Mr. Bertram Lee Scott, also known as Bert, is Associated Health Plans, Inc since 2015. He s Independent Director of AllianceBernstein L.P September 23, 2020 until March 22, 2022. He Independent Director of AllianceBernstein...
Stephanie P. Stahl	Board Director/Trustee	Yes	Current	58	Female	2018	2025	7y, 4m	Ms. Stephanie P. Stahl is Director of Edgewell Company from September 10, 2024. Ms. Stepl Independent Director of Newell Brands Inc. fr 2023. She has been Independent Director of D since January... View All
Average				**65**				**2y, 9m**	

CEO is not an independent director
Paul Hillal was appointed from Activist Mantle Ridge following a settlement in 2022



Mantle Ridge (activist investor) owns approx. 5.75% of shares - Paul Hillal was added to the Board in 2022

Claims :

- Loss runs attached

Commentary

The big story for this year from Dollar Tree comes from the sale of the Family Dollar business. Originally poised to be a massive consolidation of the 2 top performing value store businesses in the United States, turned into a very underperforming asset that was hard for DT to integrate. Acquired in July 2015 for an estimated $9B is being sold for just over $1B to private equity firm. Dollar Tree struggled to integrate Family Dollar due to a mismatch in customer base, poor store conditions, and operational difficulties.

Dollar Tree primarily caters to middle-income consumers in suburban areas, while Family Dollar targets lower-income consumers in urban areas, making the two brands a poor fit. Many Family Dollar also stores were in worse shape than expected, requiring significant investment to modernize, to which profit and revenue were not adequate enough to support. Dollar Tree struggled to manage the larger, more diverse Family Dollar store network, including supply chain issues and store locations that cannibalized each other's sales. High inflation and a pullback in consumer spending, particularly among lower-income shoppers, further impacted Family Dollar's performance.

Dollar Tree is still a strong performing asset with 87% of the country's population living within a 5-mile radius of a store. Net sales increased by nearly 5% with the first positive discretionary comp quarter since Q3 2023. DT also continues to hold a strong balance sheet with FY24 ending with $1.3B in cash and $893M of generated free cash flow. They are addressing the debt with a $1B credit revolver and amended the existing $1B 5-year revolver for ongoing business needs especially following the transaction.

This deal is a tough one for me to wrap my head around. DT has obviously had its share of problems most notably with the transaction and after 10 years a sale at a steep discount, but also with the activist investor requiring a Board change and an added seat for a director. While that has worked out okay with no critical Claim payment, it may signal that things need to turn around for the Company before they can get better. The program is extremely cheap, even looking at the underlying layers, the premium drops off incredibly fast. I think it would require us to stomach the fact that we likely will not see much in premium in the future and that the position we hold is the one we'll stick with for a bit until the market turns.

That being said, I am inclined to also kind of go for it since it will gain us a runoff. While the runoff isn't without risk, being at the QS at the top of the program is a nice bonus and getting $120k at some point in October is good for the book as well as the recurring revenue from that top layer. Unfortunately, the entire EPL program is run through BDA and the FID program is all low D&O carriers with no foreseen changes. I am inclined to say yes to the deal, but I am also hesitant of jumping in on something pretty cheap with obvious issues. What are your thoughts after reading the workup?

Thanks,

Jackson

Jackson Hoopes

Liberty Mutual Insurance

From: Haran, Richard <Richard.Haran@LibertyMutual.com>
Sent: Friday, May 16, 2025 9:27 AM
To: Hoopes, Jackson <Jackson.Hoopes@libertymutual.com>
Subject: RE: DLTR Dial in- D&O Meeting

Rater doesn't love it – 29.4%, or the go forward 25.8% (assuming tower follows 12.28% decrease)

I'm not opposed to looking at this (although very cheap). Based upon STM it will need to go to Paul.

Not that I would want the primary EPLI, but excess would be nice. Are the ancillary lines being marketed?

Rating Considerations		
Commision	15.0%	
Rating Currency	USD	<< If blank, assumes USD
Current Exchange Rate to 1 USD (CIQ)	1.0000	
3-Month Avg Exchange Rate to 1 USD (CIQ)	1.0000	
Override Exchange Rate		<< If blank, assumes Current CIQ Exchange Rate
Deductible/Retention (USD)	5,000,000	

		Layer Information						US SCA Frequency				US SCA Severity (M)			US SCA Loss Cost	
Layer	Deductible/ Retention	Attachment in excess of deductible (USD)	Limit (USD)	Signed Line	Policy Type	Sold/ Quoted Premium (USD)	Quoted Premium Type	Expected Frequency	Settlement Rate	Chance to Reach Layer	**Excess Exp Freq**	Ground-up Severity	Defense Costs	**Exp Loss in Layer**	Freq x Exp Loss in Layer	PLR
USD 30m xs 100m	5,000,000	100,000,000	30,000,000	33%	ABC	61,975	Indication	6.3%	55.0%	32.4%	**1.12%**	125.9	18.9	**9.0**	100,365	59%
USD 30m xs 100m	5,000,000	100,000,000	30,000,000	33%	ABC	54,365	Indication	6.3%	55.0%	32.4%	**1.12%**	125.9	18.9	**9.0**	100,356	59%
Custom layer	5,000,000															
Custom layer	5,000,000															
Custom layer	5,000,000															

**Modeled Premium includes loadings for Merger Objections, Loss Experience Factors, and Side A Only Discount*

Family Dollar acquisition seems to have been a disaster. Bought for 9B, sold for 1B. How will/have shareholders reacted? Additionally, tariffs and economic downturn could hit them hard.

https://www.cnn.com/2025/03/26/business/family-dollar-sale-dollar-tree

It's difficult to pinpoint an exact anticipated market capitalization for Dollar Tree after the Family Dollar spin-off without more specific financial data or analysis. However, the sale of Family Dollar to private equity firms for $1 billion is expected to simplify Dollar Tree's structure and focus its operations on the Dollar Tree brand. This strategic move, coupled with the company's projected sales and earnings, could positively impact market perception and, consequently, the market capitalization.
Here's a more detailed look at the potential impact:
Factors Influencing Market Cap:

- **Projected Sales and Earnings:**

The Mirror.com reports that Dollar Tree anticipates sales between $18.5 billion and $19.1 billion for 2025, with adjusted EPS ranging from $5.00 to $5.50. This outlook suggests continued growth and could attract investors.

- **Streamlined Operations:**

The sale of Family Dollar is intended to streamline operations and enhance focus on the Dollar Tree brand. This could lead to greater efficiency and potentially improved financial performance.

- **Net Proceeds from the Sale:**

The sale is expected to deliver net proceeds of about $804 million to Dollar Tree. This could be used for strategic investments, further reducing debt, or boosting shareholder returns.

- **Cost Savings:**

The company expects to save between 30 cents and 35 cents per share on its full-year earnings due to the sale. This cost reduction could contribute to a higher earnings outlook.

- **Market Sentiment:**

The news of the Family Dollar sale has been met with positive market reactions, with Dollar Tree stock experiencing significant gains. This suggests that investors view the move as a positive step for the company.

Potential Market Cap Impact:

- **Increased Investor Confidence:**

The strategic move to sell Family Dollar, combined with projected sales and earnings growth, could lead to increased investor confidence in Dollar Tree's future.

- **Higher Stock Price:**

A positive market reaction and increased investor confidence could translate into a higher stock price, which would, in turn, increase the company's market capitalization.

- **Potential for Further Growth:**

The simplification and focus on the Dollar Tree brand could pave the way for further growth and innovation.

In conclusion, while a precise market capitalization figure is difficult to predict without more specific financial data, the sale of Family Dollar and Dollar Tree's projected financial performance suggest a positive outlook for the company's future. This could lead to increased investor confidence and a higher market capitalization.

Richard W. Haran Jr.
Vice President
Liberty Mutual Insurance | Ironshore
28 Liberty Street, 5th Floor
New York, NY 10005
Direct: 347-421-0365
richard.haran@Libertymutual.com

From: Hoopes, Jackson <Jackson.Hoopes@libertymutual.com>
Sent: Friday, May 16, 2025 8:18 AM
To: Haran, Richard <Richard.Haran@LibertyMutual.com>
Subject: Re: DLTR Dial in- D&O Meeting

Correct.

Jackson Hoopes
Executive Underwriter

Liberty Mutual Insurance
28 Liberty Street, 5th Floor
New York, NY, 10005
Phone: 929-554-1473

From: Haran, Richard <Richard.Haran@LibertyMutual.com>
Sent: Friday, May 16, 2025 7:43:07 AM
To: Hoopes, Jackson <Jackson.Hoopes@libertymutual.com>
Subject: Re: DLTR Dial in- D&O Meeting

Jackson,

What is the reason for runoff? Is it the sale of Family Dollar?

From: Hoopes, Jackson <Jackson.Hoopes@libertymutual.com>
Sent: Thursday, May 15, 2025 9:56:49 PM
To: Haran, Richard <Richard.Haran@LibertyMutual.com>
Subject: Fw: DLTR Dial in- D&O Meeting

Rick,

This is the opportunity for Dollar Tree. I let her know I'm OOO tomorrow and she said that Monday was fine, but know you'll be out then. Take a look and let me know what you think beforehand and on Monday I'll do a full write up and send you my thoughts.

Brief Overview:
We get the Markel layer at flat. Likely will only go until October so we collect ~3 months premium.
Then the runoff happens at 2x and we collect that premium.
We then get the first shot at the go forward program and if we want it in general given pricing. They don't know what it'll be yet but we'd get first right of refusal.

Jackson

Jackson Hoopes
Executive Underwriter

Liberty Mutual Insurance
28 Liberty Street, 5th Floor
New York, NY, 10005
Phone: 929-554-1473

From: Brighter, Grace <Grace.Brighter@marsh.com>
Sent: Thursday, May 15, 2025 4:46:32 PM
To: Hoopes, Jackson <Jackson.Hoopes@libertymutual.com>
Cc: Buckley, Raegan <Raegan.Buckley@marsh.com>
Subject: RE: DLTR Dial in- D&O Meeting

Jackson,

Wanted to touch base here with a potential opportunity on DLTR.

We are looking for someone to write 10 po 30 x 100 – to replace Markel on the Run-off. Below is the expiring tower. The current aggregate limit on the expiring tower will be extended pro rata from 7/1/2025 (policy expiration) until 10/1/2025 pro-rata – with the ability to extend another 3 months. The run off is at a 2.0 factor and will be pre-paid at the time of the extension (7/1/ 2025). The transaction is expected to occur on 7/5/2025 – all unearned premium on the D&O tower will be returned to DLTR. Since you are unable to provide a 3 month policy, if interested, we ask you please price out a 1 year policy effective 7/1/2025 with the ability to cancel effective the date of the transaction allowing all unearned premium to be returned pro-rata.

Anyone who writes the Markel layer will get shot at "first right of refusal" on the go-forward at the same attachment. Remember this go-forward program will be sans prior acts and sans Family Dollar.

The expiring tower:

Carrier	Coverage	Expiring Limits	Ret/Attch	2024/2025 US Prem Bound (breakdown QS)	2024/2025 US Prem Bound	Rate/mil	ILF
Zurich	Primary	$10,000,000	$5,000,000	$342,000	$342,000	$34,200	
Travelers	1st xs	$10,000,000	$10,000,000	$203,600	$203,600	$20,360	59.53%
The Hartford	2nd xs	$10,000,000	$20,000,000	$149,600	$149,600	$14,960	73.48%
Allianz	3rd xs	$10,000,000	$30,000,000	$115,000	$115,000	$11,500	76.87%
Sompo	4th xs	$10,000,000	$40,000,000	$110,000	$110,000	$11,000	95.65%
AIG	5th xs	$10,000,000	$50,000,000	$96,280	$96,280	$9,628	87.53%
SwissRe	6th xs	$10M po $20M	$60,000,000	$79,437	$156,888	$7,944	82.51%
FASTRACK - QBE/Canopius		$10M po $20M		$77,451		$7,745	80.44%
Everest	7th xs	$10,000,000	$80,000,000	$73,810	$73,810	$7,381	95.30%
CN A	8th xs	$10,000,000	$90,000,000	$68,486	$68,486	$6,849	92.79%
Markel	9th xs	$10M po $30M	$100,000,000	$61,975	$184,376	$6,198	90.49%
ORPro		$10M po $30M		$61,975		$6,198	100.00%
FASTRACK - QBE/Canopius		$10M po $30M		$60,426		$6,043	88.23%
	Total	$130,000,000		$1,500,040	$1,500,040		

Here's Primary & 1st xs quoted on the ABC go forward:

Carrier	Coverage	Expiring Limits	Ret/Attch	2025 Premium	2025 Premium	Rate/mil	ILF
Zurich	**Primary**	**$10,000,000**	**$5,000,000**	**$300,000**	**$300,000**	$30,000	N/A
Travelers	**1st xs**	**$10,000,000**	**$10,000,000**	**$182,700**	**$182,700**	$18,270	60.90%

Thank you!

Grace

Grace Brighter
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Mobile: +1- 347-453-0265
Grace.brighter@marsh.com

Marsh

A business of Marsh McLennan

From: Hoopes, Jackson <Jackson.Hoopes@libertymutual.com>
Sent: Tuesday, April 15, 2025 1:25 PM
To: Brighter, Grace <Grace.Brighter@marsh.com>
Subject: RE: DLTR Dial in- D&O Meeting

CAUTION: This email originated outside the company. Do not click links or open attachments unless you are expecting them from the sender.

Grace,

Thanks for having me on the call last week. Do you anticipate any changes to the program or opportunities this year?

Jackson

Jackson Hoopes
Liberty Mutual Insurance

From: Hoopes, Jackson
Sent: Wednesday, March 12, 2025 12:25 PM
To: Brighter, Grace <Grace.Brighter@marsh.com>
Subject: RE: DLTR Dial in- D&O Meeting

Confirmed!

Jackson

Jackson Hoopes
Liberty Mutual Insurance

From: Brighter, Grace <Grace.Brighter@marsh.com>
Sent: Wednesday, March 12, 2025 9:04 AM
Cc: Kapp, Spencer <Spencer.Kapp@marsh.com>; Buckley, Raegan <Raegan.Buckley@marsh.com>; Shelly, Brenda <Brenda.Shelly@marsh.com>; Shubbak, Raed <Raed.Shubbak@marsh.com>; Fone, Frederick <Frederick.Fone@marsh.com>
Subject: DLTR Dial in- D&O Meeting

Good morning,

You are confirmed to dial in to DLTR's meeting on April 10th at 3pm EST.

Please confirm your attendance and that you have the teams meeting on your calendar!

Looking forward to the meeting.

Thanks,
Grace

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